

| **BT500** INDIA'S MOST VALUABLE COMPANIES |

LISTLESS OUTINGS

A BEVY OF START-UPS THAT RUSHED TO NAB SKY-HIGH PUBLIC MARKET VALUATIONS OF 2021 IS FACING A REALITY CHECK IN 2022. STILL EARLY IN THE PUBLIC MARKET LEARNING CURVE, THESE START-UPS ARE NOW FOCUSSED ON PROFITABLE GROWTH WHILE THEIR PEERS REVISIT THEIR IPO PLANS

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IN A YEAR of historic deal-making, as much as \$40 billion was raised by Indian start-ups in 2021. A bulk of these investments was pre-IPO (initial public offering) rounds going into a bunch of growth-stage start-ups looking to ride on the pandemic-induced digital euphoria in the public markets. Subsequently, food delivery major Zomato became the first internet unicorn to hit the public markets in India, and it created such a buzz around start-up listings that a bevy of high-growth—but unprofitable—internet companies lined up to grab their share of fortunes at the bourses.

“The Zomato IPO opened the floodgates. It signalled to the market *‘ki apna time aa gaya* (Our time



BT500 2022 RANKINGS

NYKAA **64**

ZOMATO **71**

PAYTM **89**

DELHIVERY **122**

POLICYBAZAAR **151**

ALL THESE START-UPS
MADE THEIR DEBUT IN
THIS YEAR'S BT500 LIST

has come)’. Its ₹9,375-crore IPO got bids of over ₹2 lakh crore, and it [valuation] almost doubled on the listing date. The company even went for an accelerated listing. At that time, markets were euphoric all across the globe,” says Aditya Kondawar, Partner & Vice President of Key Accounts at Complete Circle Capital.

As the global economy reopened in 2021 after the Covid-19 restrictions, the digital economy boomed like never before and friendly monetary policies saw an influx of private capital into start-ups. Along with the growth of investments into start-ups and a less volatile market in 2021, a number of hyper-growth start-ups saw it as an opportunity to nab sky-high public market valuations. Consequently, 2021 marked a record-breaking year for IPOs